Type MS · Calculating depreciation and carrying value

Answer 1 of 9 · Question 18 part c · 4 marks

2023 JUN · Paper 01 (regional R) · extract 1 of 2 · find part c in this mark scheme extract

Question Number	Answer	Mark
18(a)	**Award marks as indicated.** |	**Capital expenditure**	**Revenue expenditure** | | Purchase of inventory | | ✓ **(1)** | | Purchase of machinery | ✓ **(1)** | | | Installation of machinery | ✓ **(1)** | | | Machine operator wages | | ✓ **(1)** |	**(4)**

Question Number	Answer	Mark
18(b)(i)	**Award mark as indicated.** Statement of financial position **(1)**	**(1)**

Question Number	Answer	Mark
18(b)(ii)	**Award mark as indicated.** Income statement **(1)**	**(1)**

Question Number	Answer	Mark
18(c)	**Award marks as indicated.** |	**Depreciation charge for the year ended 30 April 2021** **$**	**Depreciation charge for the year ended 30 April 2022** **$** | | Machine A | 8 400 **(1)** | 5 880 **(1)** | | Machine B | 10 800 **(1)** | 7 560 **(1)** |	**(4)**

Type MS · Calculating depreciation and carrying value

Answer 1 of 9 · Question 18 part c · 4 marks

2023 JUN · Paper 01 (regional R) · extract 2 of 2 · find part c in this mark scheme extract

Question Number	Answer	Mark
18(d)	**Award mark as indicated.** $3 780 **(1)**	**(1)**

Question Number	Answer	Mark
18(e)	**Award marks for correct dates, details and amounts in combination.**	**(4)**

Provision for Depreciation - Machinery Account

Date	Details	$	Date	Details	$
1 March 2023	Disposal	14 280 **(1)**	1 May 2022	Balance b/d	32 640 **(1of)**
30 April	Balance c/d	23 652	30 April 2023	Income statement / Depreciation charge	5 292 **(1)**
		37 932			37 932
			1 May	Balance b/d	23 652 **(1of)**

TOTAL FOR QUESTION 18 = 15 MARKS

Type MS · Calculating depreciation and carrying value

Answer 2 of 9 · Question 7 part whole · 1 mark

2023 JUN · Paper 01 · find part whole in this mark scheme extract

7	**B $20 000**	**(1)**

Type MS · Calculating depreciation and carrying value

Answer 3 of 9 · Question 18 part a · 1 mark

2020 NOV · Paper 01 (regional R) · extract 1 of 2 · find part a in this mark scheme extract

Question Number	Answer	Mark
18 (a)	**Award 1 mark as indicated.** $1 680 **(1)**	**(1)**

Question Number	Answer	Mark
18 (b)	**Award 1 mark for each correct figure as indicated plus 1 mark for correct dates and details.**	**(5)**

Provision for Depreciation – Machinery Account

Date	Details	$	Date	Details	$
2019 June 30	Asset disposal	1 680 **(1of)**	2019 Jan 1	Balance b/d	9 000 **(1)**
Dec 31	Balance c/d	10 080	Dec 31	Income statement	2 760 **(1)**
		11 760			11 760
			2020 Jan 1	Balance b/d	10 080 **(1of)**

Question Number	Answer	Mark
18 (c)	**Award marks for each correct date, details and amounts in combination.**	**(4)**

Asset Disposal Account

Date	Details	$	Date	Details	$
2019 June 30	Machinery – cost / Journal	4 200 **(1)**	2019 June 30	Provision for depreciation – machinery	1 680 **(1of)**
			June 30	Cash book	2 000 **(1)**
			Dec 31	Income statement	520 **(1of)**
		4 200			4 200

Type MS · Calculating depreciation and carrying value

Answer 3 of 9 · Question 18 part a · 1 mark

2020 NOV · Paper 01 (regional R) · extract 2 of 2 · find part a in this mark scheme extract

Question Number	Answer	Mark
18 (d)	**Award 2 marks for comments related to the effect on income statement and 2 marks for the effect on the statement of financial position. Award 1 mark for conclusion.** **For example** Changing the depreciation method to reducing balance will reduce the charge for depreciation **(1)** which will result in a higher profit for the year **(1).** The change will result in the carrying value of machinery being higher **(1)** and therefore the net asset value also being higher **(1)**. Overall, the change will be beneficial but must adhere to the consistency concept **(1).** **Accept any other appropriate responses.**	**(5)**

Type MS · Calculating depreciation and carrying value

Answer 4 of 9 · Question 18 part d.i · 2 marks

2021 JUN · Paper 01 · extract 1 of 2 · find part d.i in this mark scheme extract

18(a)	**Award marks as indicated.** Capital expenditure is the purchase or improvement of non-current assets **(1)** whereas revenue expenditure is the day-to-day running costs of the business **(1)** The benefit from capital expenditure is expected to last for more than one year **(1)** whereas the benefit from revenue expenditure is expected to last for less than one year **(1).** **Accept any other appropriate responses.**	**(4)**

Question Number	Answer	Mark
18(b)	**Award marks as indicated. (Maximum 2 marks).** Wear and tear Obsolescence Economic factors Time factor Usage Technological change	**(2)**

Question Number	Answer	Mark
18(c)	**Award 1 mark as indicated** Accruals **(1)** or Prudence **(1)** or Consistency **(1)**	**(1)**

Question Number	Answer	Mark
18(d) (i)	**Award marks as indicated** $30 720 **(2) or** $38 400 **(1)**	**(2)**

Type MS · Calculating depreciation and carrying value

Answer 4 of 9 · Question 18 part d.i · 2 marks

2021 JUN · Paper 01 · extract 2 of 2 · find part d.i in this mark scheme extract

Question Number	Answer	Mark
18(d)(ii)	**Award 1 mark for each figure as indicated.** **Award 1 mark for all correct dates and details.**	**(6)**

Motor Vehicle Disposal Account

Date	Details	$	Date	Details	$
Dec 1 2020	Motor vehicle	48 000 **(1)**	Dec 1 2020	Provision for depreciation	17 280 **(1of)**
				Cash book/ bank	14 000 **(1)**
				Bilal	14 000 **(1)**
			Jan 31 2021	Income statement	2 720 **(1of)**
		48 000			48 000

TOTAL FOR QUESTION 18= 15 MARKS

Type MS · Calculating depreciation and carrying value

Answer 5 of 9 · Question 18 part c · 1 mark

2021 NOV · Paper 01 · extract 1 of 2 · find part c in this mark scheme extract

18(a) — **Award marks as indicated** — **(3)**

	Revenue expenditure	Capital expenditure
Machine delivery		✓ **(1)**
Machine installation		✓ **(1)**
Machine operatives' wages	✓ **(1)**	

Question number	Answer	Mark
18(b)	**Award up to 4 marks for explanation and 1 mark for conclusion.** **Sample answer** Revenue expenditure is day to day expenses **(1)** and is written off against profit in the year incurred **(1)**. Capital expenditure is expenditure on non-current assets **(1)** and appears in the statement of financial position **(1)**. It is important to distinguish between capital expenditure and revenue expenditure as failure to do so would result in incorrect profits being declared **(1)** **Accept any other appropriate responses.**	**(5)**

number	Answer	Mark
18(c)	**Award mark as indicated.** $4 200 **(1)**	**(1)**

Question number	Answer	Mark
18(d)	**Award marks as indicated.** $5400 **(2) W** **W** $23 400 **(1)** - $18 000 = $5 400 **(1of)**	**(2)**

Type MS · Calculating depreciation and carrying value

Answer 5 of 9 · Question 18 part c · 1 mark

2021 NOV · Paper 01 · extract 2 of 2 · find part c in this mark scheme extract

Question number	Answer	Mark
18(e)	**Award marks for correct date, details and amounts in combination.**	**(4)**

Machinery – Provision for Depreciation Account

Date	Details	$	Date	Details	$
2020 Jan 1	Disposal account	2 600 **(1)**	2019 Apr 1	Balance b/d	4 200 **(1of)**
Mar 31	Balance c/d	3 040	2020 Mar 31	Income statement	1 440 **(1)**
		5 640			5 640
			Apr 1	Balance b/d	3 040 **(1of)**

TOTAL FOR QUESTION 18 = 15 MARKS

Type MS · Calculating depreciation and carrying value

Answer 6 of 9 · Question 17 part d · 1 mark

2022 JUN · Paper 01 · extract 1 of 3 · find part d in this mark scheme extract

17(a)	**Award marks as indicated** Wear and tear **(1)** Obsolescence **(1)** Usage **(1)** Technological change **(1)** Depletion **(1)** Time factor**(1)** Economic factors **(1)** **Max 2 marks**	**(2)**

Question number	Answer	Mark
17(b)	**Award marks as indicated** Capital expenditure is charged to the statement of financial position **(1)** whereas revenue expenditure is charged to the income statement **(1)** Capital expenditure is expenditure on acquiring or improving non-current assets **(1)** whereas revenue expenditure is payment of day-to-day expenses **(1).** **Accept any other appropriate response**	**(2)**

Type MS · Calculating depreciation and carrying value

Answer 6 of 9 · Question 17 part d · 1 mark

2022 JUN · Paper 01 · extract 2 of 3 · find part d in this mark scheme extract

Question number	Answer	Mark
17(c)	**Award marks as indicated.** Delivery cost: ✓ **(1)** (Capital expenditure) Motor insurance: ✓ **(1)** (Revenue expenditure)	**(2)**

Question number	Answer	Mark
17(d)	**Award 1 mark as indicated.** $15 360 **(1)**	**(1)**

Question number	Answer	Mark
17(e)	**Award marks for correct dates, details and amounts as indicated.**	**(4)**

Provision for Depreciation – Motor Vehicles Account

Date	Details	$	Date	Details	$
2020 June 30	Disposal	14 640 **(1of)**	2021 Apr 1	Balance b/d	18 240 **(1)**
Mar 31	Balance c/d	10 480	Mar 31	Income statement	6 880 **(1)**
		25 120			25 120
			Apr 1	Balance b/d	10 480 **(1of)**

Type MS · Calculating depreciation and carrying value

Answer 6 of 9 · Question 17 part d · 1 mark

2022 JUN · Paper 01 · extract 3 of 3 · find part d in this mark scheme extract

<table>
<tr><th>Question number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>17(f)</td><td>Award marks for correct dates, details and amounts as indicated.

Asset Disposal Account
<table>
<tr><th>Date</th><th>Details</th><th>$</th><th>Date</th><th>Details</th><th>$</th></tr>
<tr><td>2021
Jun 30</td><td>Motor vehicle – cost</td><td>30 000
(1)</td><td>2021
Jun 30</td><td>Motor vehicle – provision for depreciation</td><td>14 640
(1of)</td></tr>
<tr><td>2022
Mar 31</td><td>Income statement</td><td>1 040
(1of)</td><td>Jun 30</td><td>Cash book / bank</td><td>16 400
(1)</td></tr>
<tr><td></td><td></td><td>31 040</td><td></td><td></td><td>31 040</td></tr>
</table></td><td>(4)</td></tr>
</table>

Total for Question 17 = 15 marks

Type MS · Calculating depreciation and carrying value

Answer 7 of 9 · Question 18 part c.i · 1 mark

2024 JUN · Paper 01 (regional R) · extract 1 of 2 · find part c.i in this mark scheme extract

18(a)	**Award 1 mark for each correct reason up to max 2 marks.** Wear and tear **(1)** Depletion **(1)** Obsolescence **(1)** Passage of time **(1)**	**(2)**

Question Number	Answer	Mark
18(b)	**Award up to two marks for each explanation** **Capital expenditure** is money spent on the purchase or improvement of non-current assets **(1)** which are purchased by the business for long term use. **(1)** **Revenue expenditure** is money spent on the day to day running of a business **(1)** which benefits the business in the short term. **(1)** **Accept any other appropriate responses**	**(4)**

Question Number	Answer	Mark
18(c)(i)	**Award mark as indicated.** $4 000 **(1)**	**(1)**

Question Number	Answer	Mark
18(c)(ii)	**Award mark as indicated.** $2 400 **(1)**	**(1)**

Type MS · Calculating depreciation and carrying value

Answer 7 of 9 · Question 18 part c.i · 1 mark

2024 JUN · Paper 01 (regional R) · extract 2 of 2 · find part c.i in this mark scheme extract

Question Number	Answer	Mark
18(d)	**Award marks for correct dates, details and amounts in combination.**	

Machinery - Provision for Depreciation Account

Date	Details	$	Date	Details	$
31 Dec 2022	Balance c/d	12 000	31 Dec 2022	Income statement / Depreciation charge	12 000 **(1)**
		12 000			12 000
31 Dec 2023	Balance c/d	21 600	1 Jan 2023	Balance b/d	12 000 **(1)**
			31 Dec 2023	Income statement / Depreciation charge	9 600 **(1)**
		21 600			21 600
			1 Jan 2024	Balance b/d	21 600 **(2/1of)**

(5)

Question Number	Answer	Mark
18(e)	**Award up to two marks for a valid reason.** **Sample answer** As the business will benefit from using the non-current assets over several years it needs to match the benefit **(1)** with the cost of using the asset in the income statement **(1).** **Accept any other appropriate responses.**	**(2)**

TOTAL FOR QUESTION 18 = 15 MARKS

Type MS · Calculating depreciation and carrying value

Answer 8 of 9 · Question 18 part c.ii · 1 mark

2024 JUN · Paper 01 (regional R) · extract 1 of 2 · find part c.ii in this mark scheme extract

18(a)	**Award 1 mark for each correct reason up to max 2 marks.** Wear and tear **(1)** Depletion **(1)** Obsolescence **(1)** Passage of time **(1)**	**(2)**

Question Number	Answer	Mark
18(b)	**Award up to two marks for each explanation** **Capital expenditure** is money spent on the purchase or improvement of non-current assets **(1)** which are purchased by the business for long term use. **(1)** **Revenue expenditure** is money spent on the day to day running of a business **(1)** which benefits the business in the short term. **(1)** **Accept any other appropriate responses**	**(4)**

Question Number	Answer	Mark
18(c)(i)	**Award mark as indicated.** $4 000 **(1)**	**(1)**

Question Number	Answer	Mark
18(c)(ii)	**Award mark as indicated.** $2 400 **(1)**	**(1)**

Type MS · Calculating depreciation and carrying value

Answer 8 of 9 · Question 18 part c.ii · 1 mark

2024 JUN · Paper 01 (regional R) · extract 2 of 2 · find part c.ii in this mark scheme extract

Question Number	Answer	Mark
18(d)	**Award marks for correct dates, details and amounts in combination.**	

Machinery - Provision for Depreciation Account

Date	Details	$	Date	Details	$
31 Dec 2022	Balance c/d	12 000	31 Dec 2022	Income statement / Depreciation charge	12 000 **(1)**
		12 000			12 000
31 Dec 2023	Balance c/d	21 600	1 Jan 2023	Balance b/d	12 000 **(1)**
			31 Dec 2023	Income statement / Depreciation charge	9 600 **(1)**
		21 600			21 600
			1 Jan 2024	Balance b/d	21 600 **(2/1of)**

(5)

Question Number	Answer	Mark
18(e)	**Award up to two marks for a valid reason.** **Sample answer** As the business will benefit from using the non-current assets over several years it needs to match the benefit **(1)** with the cost of using the asset in the income statement **(1).** **Accept any other appropriate responses.**	**(2)**

TOTAL FOR QUESTION 18 = 15 MARKS

Type MS · Calculating depreciation and carrying value

Answer 9 of 9 · Question 17 part c.i · 1 mark

2025 NOV · Paper 01 · extract 1 of 2 · find part c.i in this mark scheme extract

17(a)(i)	**Award 1 mark for identification and 1 mark for linked development.** The purchase or improvement of a **non-current asset (1)** with the benefit expected to last **more than one year** / appears on the **statement of financial position (1).**	**(2)**

Question Number	Answer	Mark
17(a)(ii)	**Award 1 mark for identification and 1 mark for linked development.** The **day-to-day running costs** of the business **(1)** with the benefit expected to last **less than one year** / appears on the **income statement (1).**	**(2)**

Question Number	Answer	Mark
17(b)(i)	**Award mark as indicated.** $46 400 **(1)**	**(1)**

Question Number	Answer	Mark
17(b)(ii)	**Award mark as indicated.** $2 300 **(1)**	**(1)**

Question Number	Answer	Mark
17(b)(iii)	**Award mark as indicated.** Overstated: Understated: No effect: ✓ **(1)**	**(1)**

Type MS · Calculating depreciation and carrying value

Answer 9 of 9 · Question 17 part c.i · 1 mark

2025 NOV · Paper 01 · extract 2 of 2 · find part c.i in this mark scheme extract

Question Number	Answer	Mark
17(c)(i)	**Award mark as indicated.** $23 360 **(1)**	**(1)**

Question Number	Answer	Mark
17(c)(ii)	**Award marks for correct details and amounts in combination.**	**(7)**

Disposal Account

Date	Details	$	Date	Details	$
2024 Aug 1	Machinery cost	36 500 (1)	2024 Aug 1	Machinery provision for depreciation	13 140 (2/1of)
2025 Jun 30	Income statement	1 240 (2/1of)		Cash book /Bank	8 200 (1)
				(Gerhardt) loan	16 400 (1)
		37 740			37 740

TOTAL FOR QUESTION 17 = 15 MARKS